LV

Market value Book value

$$PPE = \text{Market value} - (mv - Bv)\ \text{tax rate}$$

Discount back

2015

$$\frac{FCF}{(1+r)^3}$$ ← 3 years

	Op income
−	taxes
	NOPAT
+	Dep
−	Capex
−	Δ NWC
	FCF

$$PV = \underset{2025}{\text{FCF discounted back}} + \underset{2026}{\text{"}} + \underset{2026}{TV}$$

① formula to calculate cash flow

A.)

Operating Income
− Taxes

NOPAT
+ Dep
− capex
− ΔNWC

free cash flow

B.) notice no interest expense

If we subtracted int expense ①
we would be favoring equity holders

② was be mixing financing decisions w/ operating performance

③ tax shield is accounted w/ WACC

NOPAT = Net operating Profit After Taxes

C.) NOPAT / EBIAT asks the question How much do we make after taxes before worrying about loans?

D.) NOPAT − capex − ↑ΔNWC
+ Dep = FCF

E.) NWC = Operating Cash + AR + Inv − AC

$$\uparrow\Delta NWC = NWC_t - NWC_{t-1}$$

F.) Capex will be a simple investment that we make in equipment

G.) i.) Liquidation value
tax consequences of selling PPE PPE = MV − (MV − BV)

ii.) you get NWC back

TV = Gordon Growth (growing perpetuity)

$$TV_N = \frac{FCF_{N+1}}{r-g} \qquad FCF_{N+1} = FCF(1+g)$$

A.) FCF = 50m
r = 10%
g = 3%

$$\frac{50m(1+.03)}{10-3}$$

B.) LV? MV = 120 BV = 70m

$$PPE = 120 - (120 - \overset{70}{BV}) \cdot .25$$

$$50 \cdot \frac{1}{4}$$

$$120 - 12.5$$

$$\boxed{107.5}$$

LV 10 25

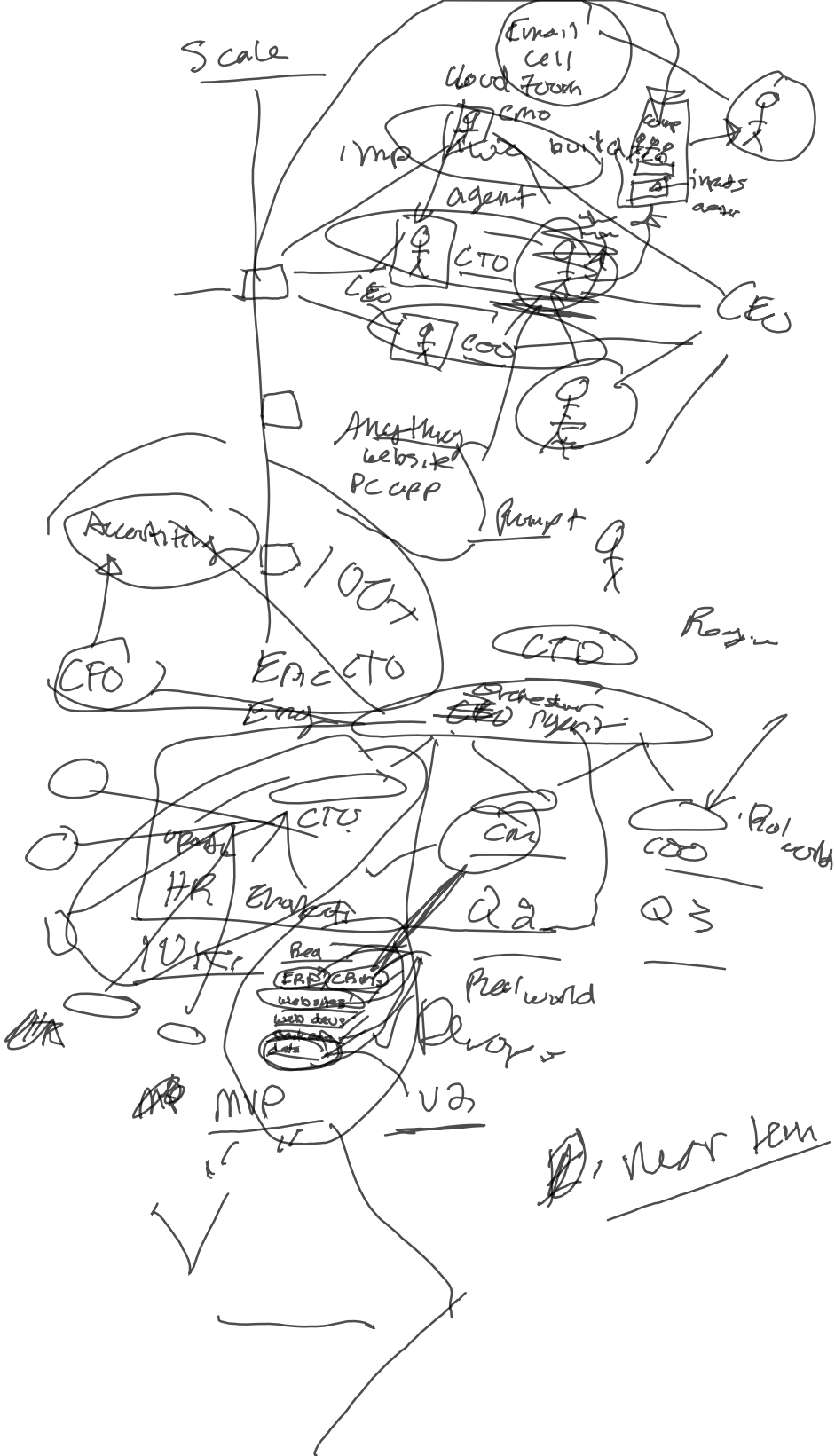
$$\boxed{LV = PPE + NWC}$$

$$LV = 132.5$$

C.) PV $\boxed{\frac{FCF}{(1+r)^t}}$

$$NPV = \sum_{t=1}^{N} \frac{CF_t}{(1+r)^t} - C_0$$

w/ current CF
~~discount~~ forecast out 5 years — the cost we paid or will pay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